Quarterly Report of the Dino Polska S.A. Group for Q3 2018

Dino Polska Spółka Akcyjna (“Dino”, “Company”, “parent company”)
Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company’s share capital as at 30 September 2018 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document (“Q3 2018 Report”, “Report”) comprises the condensed quarterly consolidated financial statements (unaudited) of the Dino Polska S.A. Group (“Group”, “Dino Group”) for the third quarter of 2018 (“Financial Statements”), the Company’s condensed financial information and additional information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from the Dino Group. This document was prepared on 8 November 2018 (“Report Date”).

Unofficial translation. Only the original Polish text is binding.

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1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	PLN 000s		*EUR 000s**	
	from 1 January 2018 to 30 September 2018	*from 1 January 2017 to 30 September 2017*	*from 1 January 2018 to 30 September 2018*	*from 1 January 2017 to 30 September 2017*
Sales revenues	4,267,590	3,238,569	1,003,318	760,835
Operating profit	289,978	200,799	68,174	47,174
Profit before tax	258,002	173,708	60,657	40,809
Net profit	208,730	140,684	49,073	33,051
Number of shares	98,040,000.00	98,040,000.00	98,040,000.00	98,040,000.00
Basic / diluted earnings per share in PLN, EUR	2.13	1.43	0.50	0.34
Cash flow from operating activities	355,262	262,039	83,523	61,561
Cash flow from investing activities	(473,062)	(277,942)	(111,218)	(65,297)
Cash flow from financing activities	29,411	9,682	6,915	2,275
Net change in cash and cash equivalents	(88,389)	(6,221)	(20,780)	(1,461)

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

NBP's average exchange rate for Q1-Q3 2018:	4.2535	PLN / EUR
NBP's average exchange rate for Q1-Q3 2017:	4.2566	PLN / EUR

	PLN 000s		*EUR 000s**	
	as at 30 September 2018	*as at 31 December 2017*	*as at 30 September 2018*	*as at 31 December 2017*
Total assets	2,776,362	2,451,329	649,989	587,722
Total non-current assets	2,198,187	1,807,964	514,629	433,471
Total current assets	578,175	643,365	135,360	154,251
Equity	1,113,223	904,493	260,623	216,858
Share capital	9,804	9,804	2,295	2,351
Non-current liabilities	634,523	575,883	148,552	138,072
Current liabilities	1,028,616	970,953	240,815	232,792

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

NBP's average exchange rate as at 30 September 2018	4.2714	PLN / EUR
NBP's average exchange rate as at 31 December 2017	4.1709	PLN / EUR

2. Management Board Activity Report

2.1. Operations of the Dino Group

2.1.1. Business profile

Dino is a Polish chain of medium-sized grocery supermarkets and one of the fastest growing networks on the overall retail grocery market in Poland.

Dino's business model combines the advantages of the format provided to customers by medium-sized stores situated in convenient locations, in most cases close to their places of residence or featuring much more traffic, with the ability to open new stores quickly and an attractive product range, comprising primarily branded and fresh products at competitive prices.

As at 30 September 2018, the Dino network consisted of 895 stores with a total selling area of 343,281 square meters. The Dino Group has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 426 in the period of three years until 30 September 2018. Its network expansion has been accompanied by significant like for like (LFL) revenue growth in its existing store network, which in the January-September 2018 period stood at 12.4% compared to the corresponding period of last year. The Dino Group continues to develop its network, consistently looking for new sites for its stores.

Dino stores have a uniform format. Most stores have a selling area of roughly 400 square meters and are located chiefly in small communities, small and medium cities and in the peripheries of large cities. Dino's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week (except for Sundays).

Each store offers its customers approx. 5,000 stock keeping units (SKUs), mostly well-known branded products with emphasis placed on its fresh product offering. Every store has a staffed meat counter. The Dino Group offers products at competitive prices.

Dino Group's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on three distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They enable Dino to make purchases on favorable terms that should improve steadily as the sales network continues to expand. These drivers consistently enhance the Dino Group's profitability.

The Dino Group strategy assumes further growth through focus on three key areas:

- <u>continuation of rapid organic growth in the number of stores</u> – Dino plans to exceed the number of 1,200 stores in operation by the end of 2020. The Dino Group intends to take advantage of opportunities to grow the network organically in its existing form through: (i) increasing store penetration in existing areas, and (ii) gradual expansion in the northern and eastern parts of Poland.

- <u>continuing to grow LFL sales revenues in the existing store network</u> – to continue growing LFL sales revenues in the existing store network the Dino Group will take actions to augment customer traffic in Dino stores and the basket value per customer.

- <u>consistent improvement of profitability</u> – in 2014-2017 the Dino Group generated sustainable growth of the gross margin on sales and EBITDA margin. The aim is to continue to improve profitability thanks to increasing scale of operations, favorable business model and strategic initiatives undertaken by the Dino Group.

2.1.2. Recap of the Dino Group's operations in Q3 2018

In Q3 2018 the Dino Group's revenues were PLN 1,558.5 million, meaning they were up by PLN 338.3 million, i.e. 27.7% higher than in Q3 2017. At the same time, the cost of sales increased 26.0% to PLN 1,181.8 million. EBITDA rose 29.9% year on year to PLN 141.5 million. The EBITDA margin was 9.1%, up from 8.9% last year.

YTD, after 9 months of 2018 the Dino Group's revenues were PLN 4,267.6 million, meaning they were up by PLN 1,029.0 million, i.e. 31.8% higher than in the corresponding period of 2017. At the same time, the cost of sales increased 30.5% to PLN 3,260.1 million. EBITDA[1] rose 34.6% year on year to PLN 370.5 million. The EBITDA margin was 8.7%, 0.2 percentage points higher than in the January-September 2017 period.

The following table presents selected consolidated statement of profit or loss line items

(PLN 000s)	**Q3 2018**	**Q3 2017**	**change**	**Q1-Q3 2018**	**Q1-Q3 2017[2]**	**change**
Sales revenues	**1,558,518**	**1,220,171**	**27.7%**	**4,267,590**	**3,238,569**	**31.8%**
Cost of sales	(1,181,789)	(937,556)	26.0%	(3,260,085)	(2,497,615)	30.5%
Gross profit on sales	**376,729**	**282,615**	**33.3%**	**1,007,505**	**740,954**	**36.0%**
Other operating income	255	625	-59.2%	3,338	1,837	81.7%
Sales and marketing expenses	(248,438)	(183,121)	35.7%	(677,533)	(493,592)	37.3%
General administration expenses	(14,600)	(13,344)	9.4%	(41,501)	(47,664)	-12.9%
Other operating expenses	(925)	(348)	165.8%	(1,831)	(736)	148.8%
Operating profit	**113,021**	**86,427**	**30.8%**	**289,978**	**200,799**	**44.4%**
Financial income	154	1	-%	301	141	113.5%
Financial expenses	(11,632)	(9,379)	24.0%	(32,277)	(27,232)	18.5%
Profit before tax	**101,543**	**77,049**	**31.8%**	**258,002**	**173,708**	**48.5%**
Income tax	(19,268)	(13,507)	42.7%	(49,272)	(33,024)	49.2%
Net profit	**82,275**	**63,542**	**29.5%**	**208,730**	**140,684**	**48.4%**

Sales revenues

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in the existing store network (like for like, LfL)[3]. LfL sales growth in Q3 2018 was 8.6%, compared to the corresponding period of 2017. In January-September 2018 LfL sales growth was 12.4%.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's existing store network.

%	2018			Q1-Q3			2017	2016	2015
	Q3	Q2	Q1	2018	2017	2016			
Inflation (deflation)	2.0	1.7	1.5	1.7	1.9	-0.9	2.0	-0.6	-0.9
Food price inflation	2.2	3.2	3.9	3.1	3.8	0.7	4.2	0.8	-1.7
Dino's LFL	**8.6**	**10.0**	**20.3**	**12.4**	**15.2**	**10.5**	**16.2**	**11.3**	**5.1**

Fresh products, including meat, cold cuts and poultry, accounted for 36.6% of the Group's sales in Q3 2018 and for 37.5% in the January-September 2018 period, i.e. up by 0.3 percentage points and 0.8 percentage points in relation to the corresponding period of 2017.

[1] *EBITDA adjusted for non-recurring costs associated with the IPO of PLN 12,272 thousand in H1 2017.*
[2] *The data have not been adjusted for one-offs related to the public offering in H1 2017*
[3] *stores are included in the calculation of LfL revenues starting from the 13th full month of their existence*

The table below shows the structure of sales revenues by product in individual periods.

%	Q3 2018	Q3 2017	Q1-Q3 2018	Q1-Q3 2017
Fresh food products	36.6	36.3	37.5	36.7
Dry grocery products, beverages, alcohol and cigarettes	51.6	51.7	50.2	50.9
Non-grocery products	11.8	12.0	12.3	12.4

Development of Dino's store network

In Q3 2018, 46 new Dino stores were launched, 5 more than last year. YTD from the beginning of 2018, the Dino network grew by 120 stores in relation to 90 in the corresponding period of last year. As at 30 September 2018, the Dino network consisted of 895 stores, 177 more than last year.

The following table presents information on the Dino Group's number of stores as at specified dates.

	As at 30 September		As at 31 December		
	2018	**2017**	**2017**	**2016**	**2015**
Number of new store openings (YTD)	120	90	147	123	101
Total number of stores	**895**	**718**	**775**	**628**	**511**
Total selling area (m^2)	343,281	273,038	295,226	238,416	191,579
Growth of selling area y/y	25.7%	23.1%	23.8%	24.4%	26.4%

Cost of sales

The cost of sales was 75.8% and 76.8% of revenue, respectively in Q3 2018 and Q3 2017. The cost of sales rose PLN 244.2 million, i.e. by 26.0% to PLN 1,181.8 million in Q3 2018 compared to PLN 937.6 million in Q3 2017, with a corresponding 27.7% increase of sales revenues. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino Group's store network and rising sales in the existing store network (LfL).

Sales and marketing expenses

Sales and marketing expenses grew by PLN 65.3 million, i.e. 35.7% to PLN 248.4 million in Q3 2018 compared to PLN 183.1 million in Q3 2017. This growth was mainly driven by the Dino Group's growing business size and the related expansion of its store network and rising LfL sales in its existing store network, thereby necessitating higher costs associated with store upkeep, storage of merchandise and marketing.

General administration expenses

General administration expenses rose PLN 1.3 million, or 9.4%, to PLN 14.6 million in Q3 2018 compared to PLN 13.3 million in Q3 2017. This was caused mainly by the expansion of the Dino Group's store network (some administrative functions expanded in line with the network rollout).

Costs by nature

The following table presents costs by nature.

(PLN 000s)	Q3 2018	Q3 2017	change	Q1-Q3 2018	Q1-Q3 2017[4]	change
Depreciation and amortization	28,442	22,498	26.4%	80,472	62,092	29.6%
Consumption of materials and energy	138,318	121,624	13.7%	369,755	320,547	15.4%
External services	67,878	46,255	46.7%	177,542	122,171	45.3%
Taxes and fees	7,371	6,094	21.0%	22,674	18,005	25.9%
Employee benefits	170,555	122,894	38.8%	470,688	334,701	40.6%
Other costs by nature	5,625	5,789	-2.8%	13,500	12,697	6.3%
Cost of goods and materials sold	1,025,727	806,899	27.1%	2,845,816	2,158,399	31.8%
Total costs by nature, including:	**1,443,916**	**1,132,053**	**27.5%**	3,980,447	3,028,612	**31.4%**
Items captured in cost of sales	1,181,789	937,556	26.0%	3,260,085	2,497,615	30.5%
Items captured in sales and marketing expenses	248,438	183,121	35.7%	677,533	493,592	37.3%
Items captured in general administration expenses	14,600	13,344	9.4%	41,501	35,392	17.3%
Movement in products	(911)	(1,968)	-53.7%	1,328	2,013	-34.0%

Total costs by nature rose PLN 311.9 million, or 27.5%, to PLN 1,443.9 million in Q3 2018, compared to PLN 1,132.1 million in Q3 2017, mainly as a result of higher: (i) costs of goods and materials sold (up PLN 218.8 million), (ii) costs of employee benefits (up PLN 47.7 million), (iii) external services (up PLN 21.6 million) and (iv) consumption of materials and energy (up PLN 16.7 million). This growth was caused mainly by the expansion of the Dino Group's store network and rising sales in the existing store network (LfL).

The costs of employee benefits rose PLN 47.7 million, i.e. 38.8% to PLN 170.6 million in Q3 2018 compared to PLN 122.9 million in Q3 2017). This growth resulted primarily from the higher number of Dino Group employees from 12,003 as at 30 September 2017 to 15,652 as at 30 September 2018 in connection with the Dino Group's expanding business size and the related expansion of the Dino Group's store network and rising LfL sales in the existing network and, to a smaller extent, from the higher average salary in the Dino Group.

External services, which comprised in particular transportation services, lease and tenancy services, and maintenance services, increased by PLN 21.6 million, or 46.7%, to PLN 67.9 million in Q3 2018 compared to PLN 46.3 million in Q3 2017. This growth was caused by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LfL sales in the existing store network, and the uptick in transport expenses ensuing from high fuel prices.

Consumption of materials and energy increased by PLN 16.7 million, or 13.7%, to PLN 138.3 million in Q3 2018 compared to PLN 121.6 million in Q3 2017. This growth was caused by an increase in unit electricity price and by higher consumption of materials and raw materials in connection with the Dino Group's expanding business size and the expansion of the Dino Group's store network and rising LFL sales in the existing store network.

Financial expenses

Dino Group's financial expenses rose PLN 2.3 million, or 24.0%, to PLN 11.6 million in Q3 2018 compared to PLN 9.4 million in Q3 2017. This growth was caused mainly by the higher amount of interest on loans, borrowings and issued bonds as a result of the Group's growing business and the related expansion of the Dino Group's store network and rising LfL sales in the existing store network.

[4] *The data have been adjusted for one-offs related to the public offering totaling PLN 12,272 thousand in H1 2017 (PLN 1,493 thousand included in third party services, PLN 10,334 thousand posted to costs of employee benefits and PLN 445 thousand captured in other costs by nature)*

Balance sheet – assets

(PLN 000s)	30 September 2018	30 June 2018	31 December 2017	30 September 2017	Change 30 September 2018 / 30 June 2018	Change 30 September 2018 / 30 September 2017
Property, plant and equipment	2,090,369	1,931,438	1,697,600	1,593,249	8.2%	31.2%
Intangible assets	93,653	93,509	92,774	91,677	0.2%	2.2%
Deferred tax assets	14,141	12,206	17,560	22,275	15.9%	-36.5%
Total non-current assets	**2,198,187**	**2,037,179**	**1,807,964**	**1,707,233**	**7.9%**	**28.8%**
Inventories	376,507	376,425	368,262	294,521	0.0%	27.8%
Trade and other receivables	29,751	19,545	37,991	17,945	52.2%	65.8%
Income tax receivables	21	139	77	44	-84.9%	-52.3%
Other non-financial assets	57,659	45,940	34,409	27,906	25.5%	106.6%
Cash and cash equivalents	114,237	190,087	202,626	60,207	-39.9%	89.7%
Total current assets	**578,175**	**632,136**	**643,365**	**400,623**	**-8.5%**	**44.3%**
TOTAL ASSETS	**2,776,362**	**2,669,315**	**2,451,329**	**2,107,856**	**4.0%**	**31.7%**

Total assets increased by PLN 668.5 million, i.e. 31.7%, from PLN 2,107.9 million as at 30 September 2017 to PLN 2,776.4 million as at 30 September 2018. Compared to 30 June 2018, total assets rose by PLN 107.0 million, or 4.0%.As at 30 September 2018, the main components of total assets were: (i) property, plant and equipment (constituting 75.3%), (ii) inventories (constituting 13.6%), (iii) cash and cash equivalents (constituting 4.1%) and (iv) intangible assets (constituting 3.4%).

Non-current assets rose by PLN 491.0 million, i.e. 28.8%, from PLN 1,707.2 million as at 30 September 2017 to PLN 2,198.2 million as at 30 June 2018. Compared to 30 June 2018, non-current assets rose by PLN 161.0 million, or 7.9%. In both cases this growth was caused mainly by higher property, plant and equipment which, in turn, was caused primarily by the Dino Group’s network rollout (new Dino stores) and capital expenditures.

Current assets increased by PLN 177.6 million, i.e. 44.3%, from PLN 400.6 million as at 30 September 2017 to PLN 578.2 million as at 30 September 2018. The increase was caused mainly by an uptick in the balance of inventories by PLN 82.0 million, which in turn resulted from an increased scale of the Dino Group’s business.

Compared to 30 June 2018, current assets decreased by PLN 54 million (-8.5%) driven by a decline in the cash and cash equivalents item.

Balance sheet – liabilities and equity

(PLN 000s)	30 September 2018	30 June 2018	31 December 2017	30 September 2017	Change 30 September 2018 / 30 June 2018	Change 30 September 2018 / 30 September 2017
Equity	**1,113,223**	**1,030,948**	**904,493**	**831,660**	**8.0%**	**33.9%**
Share capital	9,804	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	1,307,272	1,307,272	1,111,860	1,111,860	0.0%	17.6%
Retained earnings	-211,353	-293,628	-224,671	-297,504	-28.0%	-29.0%
Other equity	7,500	7,500	7,500	7,500	0.0%	0.0%
Total equity	**1,113,223**	**1,030,948**	**904,493**	**831,660**	**8.0%**	**33.9%**
					-	-
Interest-bearing loans and borrowings and finance lease liabilities	521,528	537,295	470,590	490,626	-2.9%	6.3%
Other liabilities	240	240	270	270	0.0%	-11.1%
Liabilities by virtue of outstanding securities (LT)	99,822	99,789	99,749	0	0.0%	-
Provisions for employee benefits	1,230	1,231	1,231	1,115	-0.1%	10.3%
Deferred tax liability	11,337	8,156	3,495	3,432	39.0%	230.3%
Accruals and deferred revenue (LT)	366	427	548	70	-14.3%	422.9%
Total non-current liabilities	**634,523**	**647,138**	**575,883**	**495,513**	**-1.9%**	**28.1%**

Trade and other payables	832,436	804,814	811,322	601,337	3.4%	38.4%
Current part of interest-bearing loans and borrowings and finance lease liabilities	134,783	134,883	117,074	147,358	-0.1%	-8.5%
Liabilities by virtue of outstanding securities (ST)	637	637	654	0	0.0%	-
Income tax liabilities	33,128	21,522	20,729	14,362	53.9%	130.7%
Accruals and deferred revenue (ST)	27,281	29,023	20,824	17,400	-6.0%	56.8%
Provisions for employee benefits and other provisions	351	350	350	226	0.3%	55.3%
Total current liabilities	**1,028,616**	**991,229**	**970,953**	**780,683**	**3.8%**	**31.8%**
Total liabilities	**1,663,139**	**1,638,367**	**1,546,836**	**1,276,196**	**1.5%**	**30.3%**
TOTAL EQUITY AND LIABILITIES	**2,776,362**	**2,669,315**	**2,451,329**	**2,107,856**	**4.0%**	**31.7%**

As at 30 September 2018, the main components of liabilities were: (i) trade and other payables (current part) representing 50.1%; (ii) interest-bearing loans, borrowings and finance lease liabilities (non-current part) representing 31.4% of total liabilities and (iii) current part of interest-bearing loans and liabilities under financial lease agreements representing 8.1%.

Total liabilities rose PLN 386.9 million, i.e. 30.3%, from PLN 1,276.2 million as at 30 September 2017 to PLN 1,663.1 million as at 30 September 2018. Total liabilities rose by PLN 24.8 million, i.e. 1.5% from PLN 1,638.4 million as at 30 June 2018 to PLN 1,663.1 million as at 30 September 2018.

The Dino Group's net debt[5] stood at PLN 642.5 million as at 30 September 2018, signifying growth of PLN 64.8 million compared to 30 September 2017 and growth of PLN 60.0 million compared to 30 June 2018. The net debt to EBITDA ratio for the last 12 months was 1.3x as at 30 September 2018. As at 30 September 2017, this ratio was 1.6x.

Cash flows

(PLN 000s)	**Q3 2018**	**Q3 2017**	**change**	**Q1-Q3 2018**	**Q1-Q3 2017**	**change**
Net cash from operating activities, including:	150,909	136,765	10.3%	355,262	262,039	35.6%
profit before tax	101,543	77,049	31.8%	258,002	173,708	48.5%
depreciation and amortization	28,442	22,498	26.4%	80,472	62,092	29.6%
movement in working capital	15,169	43,844	-65.4%	9,973	23,744	-58.0%
other	5,755	(6,626)	-%	6,815	2,495	173.1%
Net cash from investing activities	(194,567)	(106,845)	82.1%	(473,062)	(277,942)	70.2%
Net cash from financing activities	(32,192)	(12,763)	152.2%	29,411	9,682	203.8%
Net increase in cash and cash equivalents	(75,850)	17,157	-%	(88,389)	(6,221)	1320.8%

The Dino Group generated net operating cash flow in Q3 2018 totaling PLN 150.9 million. In Q3 2017 it was PLN 136.8 million. The increase in net cash from operating activities was driven mainly by the higher magnitude of the Dino Group's business, i.e. predominantly the growing top line following from expansion of the store network and rising LfL sales in the existing store network. Top line growth was higher than the corresponding increase in operating expenses.

[5] *defined as interest-bearing loans and borrowings and liabilities under financial lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and finance lease liabilities minus cash and cash equivalents.*

Net cash flow from investing activities totaled PLN -194.6 million in Q3 2018 and was up PLN 87.7 million, or by 82.1% compared to investing cash flow in Q3 2017. This was mostly caused by the upswing in the number of new Dino store openings in Q3 2018 and the ongoing progress in the construction of Dino's new distribution center in Rzeszotary, which is slated to be opened in 2018.

2.1.3. Factors impacting Dino's operations and results

In the opinion of the Dino Management Board, the following factors will affect the Dino Group's business in the upcoming quarters:

- pace of new store openings by the Dino Group and the related capital expenditures,
- favorable economic situation in Poland resulting in increasing disposable income and consumption expenditures of customers;
- growth rate of the prices of consumer goods and services, in particular food and soft drinks,
- regulatory environment: government programs translating into incremental consumer disposable income and the gradual deployment of the Sunday trading ban;
- improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses; improved efficiency of logistics services provided to all stores,
- decreasing unemployment and unstable and uncertain situation in the labor market in individual regions.

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino shares.

Shareholding structure of Dino Polska S.A. as at the Report Date

	Number of shares and number of votes at the Shareholder Meeting	Share in the share capital and in votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary[6]	50,103,000	51.1%
Other shareholders	47,937,000	48.9%

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Supervisory Board. According to the Company's best knowledge, there have not been any changes in the structure of significant equity stakes in Dino in the period from the date of transmitting the periodic report for H1 2018.

At the Report Date, Szymon Piduch, President of the Management Board, held 141,000 shares. Michał Krauze, a Management Board Member, held 30,000 Company shares as at the Report Date. No changes occurred in the number of Dino Polska shares held by members of the Company's Management Board since the delivery date of the H1 2018 periodic report.

Among the Supervisory Board members, as at the Report Date the following held Dino shares: Tomasz Biernacki (Supervisory Board Chairman) – according to the data set forth in the table above, Eryk Bajer (Supervisory Board

[6] *BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds 103 thousand Company shares*

Member) – 18,681 shares (in connection with purchase transactions executed on the Warsaw Stock Exchange from the delivery date of the periodic report for H1 2018 Eryk Bajer increased the number of shares he held by 1,050) and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares.

On 20 March 2017, in connection with the public offering of shares, Tomasz Biernacki incurred an obligation not to sell the 51% of Dino Polska shares held by him before the public offering until the expiry of the 720-day period after the first listing of shares on the Warsaw Stock Exchange, which happened on 19 April 2017. Moreover, in accordance with the provisions of the incentive programs, the Members of the Company's Management Board who acquired shares in the performance of their obligation to acquire the shares specified in these programs, are required to refrain from selling those shares for a period of two years after their acquisition. The detailed provisions of the said obligations are described in the Company's prospectus, as approved by KNF on 17 March 2017.

2.3. Operating Segments

The Dino Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the Dino Polska S.A. Group as a whole, only one operating segment has been isolated.

(PLN 000s)	***Q1-Q3 2018***	***Q1-Q3 2017***
Revenue on sales of products and services	522,148	405,526
Revenue on sales of goods and materials	3,745,442	2,833,043
Total	**4,267,590**	**3,238,569**

3. Condensed consolidated statements of the Dino Polska S.A. Group

3.1. Condensed consolidated profit and loss account

for the period from 1 January 2018 to 30 September 2018 (PLN 000s)

	1 January 2018 - 30 September 2018	*1 January 2017 - 30 September 2017*	*1 July 2018 - 30 September 2018*	*1 July 2017 - 30 September 2017*
Continuing operations				
Sales revenues	**4,267,590**	**3,238,569**	**1,558,518**	**1,220,171**
Cost of sales	(3,260,085)	(2,497,615)	(1,181,789)	(937,556)
Gross profit on sales	**1,007,505**	**740,954**	**376,729**	**282,615**
Other operating income	3,338	1,837	255	625
Sales and marketing expenses	(677,533)	(493,592)	(248,438)	(183,121)
General administration expenses	(41,501)	(47,664)	(14,600)	(13,344)
Other operating expenses	(1,831)	(736)	(925)	(348)
Operating profit	**289,978**	**200,799**	**113,021**	**86,427**
Financial income	301	141	154	1
Financial expenses	(32,277)	(27,232)	(11,632)	(9,379)
Profit before tax	**258,002**	**173,708**	**101,543**	**77,049**
Income tax	(49,272)	(33,024)	(19,268)	(13,507)
Net profit from continuing operations	**208,730**	**140,684**	**82,275**	**63,542**
Net profit for the reporting period	**208,730**	**140,684**	**82,275**	**63,542**

3.2. Condensed consolidated statement of comprehensive income

for the period from 1 January 2018 to 30 September 2018 (PLN 000s)

	1 January 2018 - 30 September 2018	*1 January 2017 - 30 September 2017*	*1 July 2018 - 30 September 2018*	*1 July 2017 - 30 September 2017*
Net profit for the reporting period	**208,730**	**140,684**	**82,275**	**63,542**
Actuarial gains/(losses) on defined benefit plans	-	-	-	-
Income tax on other comprehensive income	-	-	-	-
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	-	-	-	-
Net other comprehensive income	-	-	-	-
Comprehensive income in the reporting period	**208,730**	**140,684**	**82,275**	**63,542**

3.3. Condensed consolidated statement of financial position

as at 30 September 2018 (PLN 000s)

	30 September 2018	*30 June 2018*	*31 December 2017*	*30 September 2017*
ASSETS				
Property, plant and equipment	2,090,369	1,931,438	1,697,600	1,593,249
Intangible assets	93,653	93,509	92,774	91,677
Other non-financial assets (non-current)	24	26	30	32
Deferred tax assets	14,141	12,206	17,560	22,275
Total non-current assets	**2,198,187**	**2,037,179**	**1,807,964**	**1,707,233**
Inventories	376,507	376,425	368,262	294,521
Trade and other receivables	29,751	19,545	37,991	17,945
Income tax receivables	21	139	77	44
Other non-financial assets	57,659	45,940	34,409	27,906
Cash and cash equivalents	114,237	190,087	202,626	60,207
Total current assets	**578,175**	**632,136**	**643,365**	**400,623**
TOTAL ASSETS	**2,776,362**	**2,669,315**	**2,451,329**	**2,107,856**
EQUITY AND LIABILITIES				
Equity (attributable to owners of the parent)	**1,113,223**	**1,030,948**	**904,493**	**831,660**
Share capital	9,804	9,804	9,804	9,804
Supplementary capital	1,307,272	1,307,272	1,111,860	1,111,860
Retained earnings	(211,353)	(293,628)	(224,671)	(297,504)
Other equity	7,500	7,500	7,500	7,500
Non-controlling interests	-	-	-	-
Total equity	**1,113,223**	**1,030,948**	**904,493**	**831,660**
Interest-bearing loans and borrowings and finance lease liabilities	521,528	537,295	470,590	490,626
Liabilities by virtue of outstanding securities	99,822	99,789	99,749	-
Other liabilities	240	240	270	270
Provisions for employee benefits	1,230	1,231	1,231	1,115
Deferred tax liability	11,337	8,156	3,495	3,432
Accruals and deferred revenue	366	427	548	70
Total non-current liabilities	**634,523**	**647,138**	**575,883**	**495,513**
Trade and other payables	832,436	804,814	811,322	601,337
Current part of interest-bearing loans and borrowings and finance lease liabilities	134,783	134,883	117,074	147,358
Liabilities by virtue of outstanding securities	637	637	654	-
Income tax liabilities	33,128	21,522	20,729	14,362
Accruals and deferred revenue	27,281	29,023	20,824	17,400
Provisions for employee benefits	351	350	350	226
Total current liabilities	**1,028,616**	**991,229**	**970,953**	**780,683**
Total liabilities	**1,663,139**	**1,638,367**	**1,546,836**	**1,276,196**
TOTAL EQUITY AND LIABILITIES	**2,776,362**	**2,669,315**	**2,451,329**	**2,107,856**

3.4. Condensed consolidated statement of cash flows

for the period from 1 January 2018 to 30 September 2018 (PLN 000s)

	1 January 2018 - 30 September 2018	*1 January 2017 - 30 September 2017*	*1 July 2018 - 30 September 2018*	*1 July 2017 - 30 September 2017*
Cash flow from operating activities				
Profit before tax	*258,002*	*173,708*	*101,543*	*77,049*
Adjustments for the line items:	*97,260*	*88,331*	*49,366*	*59,716*
Depreciation and amortization	80,472	62,092	28,442	22,498
(Profit)/loss on investment activity	1,122	383	592	204
Movement in receivables	(8,102)	14,774	(23,336)	18,388
Movement in inventories	(8,245)	(17,980)	(82)	12,384
Movement in liabilities, except for loans and borrowings	26,320	26,950	38,587	13,072
Interest revenue	(301)	(68)	(154)	(30)
Interest expense	32,218	27,427	11,610	9,440
Movement in prepayments, accruals and deferred revenue	(667)	(1,247)	4	413
Movement in provisions	-	(5,667)	-	-
Income tax paid	(25,557)	(25,833)	(6,297)	(16,653)
Other	-	7,500	-	-
Net cash from operating activities	**355,262**	**262,039**	**150,909**	**136,765**
Cash flow from investing activities				
Sale of items of property, plant and equipment and intangible assets	560	7,579	(277)	6,443
Purchase of items of property, plant and equipment and intangible assets	(473,923)	(285,589)	(194,444)	(113,318)
Interest received	301	68	154	30
Net cash from investing activities	**(473,062)**	**(277,942)**	**(194,567)**	**(106,845)**
Cash flow from financing activities				
Payment of finance lease liabilities	(33,232)	(36,939)	(11,119)	(12,406)
Proceeds from obtained loans/borrowings	225,881	122,955	12,064	24,073
Repayment of loans/borrowings	(131,020)	(48,907)	(21,527)	(14,990)
Interest paid	(32,218)	(27,427)	(11,610)	(9,440)
Net cash from financing activities	**29,411**	**9,682**	**(32,192)**	**(12,763)**
Net increase in cash and cash equivalents	(88,389)	(6,221)	(75,850)	17,157
Cash at the beginning of the period	**202,626**	**66,428**	**190,087**	**43,050**
Cash at the end of the period	**114,237**	**60,207**	**114,237**	**60,207**
- restricted cash	24	-	24	-

3.5. Condensed consolidated statement of changes in equity

for the period from 1 January 2018 to 30 September 2018 (PLN 000s)

	Attributable to owners of the parent				
	Share capital	*Supplementary capital*	*Retained earnings*	*Other equity*	*Total*
As at 1 January 2018	**9,804**	**1,111,860**	**(224,671)**	**7,500**	**904,493**
Net profit for 2018	-	-	208,730	-	208,730
Comprehensive income for the year	-	-	*208,730*	-	*208,730*
Distribution of the financial result for 2017	-	195,412	(195,412)	-	-
As at 30 September 2018	**9,804**	**1,307,272**	**(211,353)**	**7,500**	**1,113,223**
As at 1 January 2017	**9,804**	**510,720**	**162,952**	**-**	**683,476**
Net profit for 2017	-	-	213,604	-	213,604
Net other comprehensive income for 2017	-	-	(87)	-	(87)
Comprehensive income for the year	-	-	*213,517*	-	*213,517*
Costs of share-based incentive system	-	-	-	7,500	7,500
Distribution of the financial result for 2016	-	601,140	(601,140)	-	-
As at 31 December 2017	**9,804**	**1,111,860**	**(224,671)**	**7,500**	**904,493**
As at 1 January 2017	**9,804**	**510,720**	**162,952**	**-**	**683,476**
Net profit for 2017	-	-	140,684	-	140,684
Net other comprehensive income for 2017	-	-	-	-	-
Comprehensive income for the year	-	-	*140,684*	-	*140,684*
Costs of share-based incentive system	-	-	-	7,500	7,500
Distribution of the financial result for 2016	-	601,140	(601,140)	-	-
As at 30 September 2017	**9,804**	**1,111,860**	**(297,504)**	**7,500**	**831,660**

4. Condensed standalone financial statements of Dino Polska S.A.

4.1. Selected standalone financial data

	PLN 000s		EUR 000s*	
	from 1 January 2018 to 30 September 2018	*from 1 January 2017 to 30 September 2017*	*from 1 January 2018 to 30 September 2018*	*from 1 January 2017 to 30 September 2017*
Sales revenues	4,257,504	3,228,387	1,000,947	758,443
Operating profit	158,165	105,806	37,185	24,857
Profit before tax	124,908	76,216	29,366	17,905
Net profit	92,467	54,583	21,739	12,823
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	0.94	0.56	0.22	0.13
Cash flow from operating activities	316,007	191,876	74,294	45,077
Cash flow from investing activities	(423,614)	(236,189)	(99,592)	(55,488)
Cash flow from financing activities	8,951	32,137	2,104	7,550
Net change in cash and cash equivalents	(98,656)	(12,176)	(23,194)	(2,860)

In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

NBP's average exchange rate for Q1-Q3 2018:	4.2535	PLN / EUR
NBP's average exchange rate for Q1-Q3 2017:	4.2566	PLN / EUR

	PLN 000s		EUR 000s*	
	as at 30 September 2018	*as at 31 December 2017*	*as at 30 September 2018*	*as at 31 December 2017*
Total assets	2,488,246	2,251,673	582,536	539,853
Total non-current assets	1,857,633	1,540,524	434,900	369,350
Total current assets	630,613	711,149	147,636	170,503
Equity	750,625	658,158	175,733	157,798
Share capital	9,804	9,804	2,295	2,351
Non-current liabilities	532,241	492,041	124,606	117,970
Current liabilities	1,157,606	1,064,007	271,013	255,102

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

NBP's average exchange rate as at 30 September 2018	4.2714	PLN / EUR
NBP's average exchange rate as at 31 December 2017	4.1709	PLN / EUR

4.2. Condensed standalone statement of profit or loss

for the period from 1 January 2018 to 30 September 2018 (PLN 000s)

	1 January 2018 - 30 September 2018	*1 January 2017 - 30 September 2017*	*1 July 2018 - 30 September 2018*	*1 July 2017 - 30 September 2017*
A. Net revenues on sales and equivalents	**4,257,504**	**3,228,387**	**1,555,279**	**1,217,234**
I. Net revenue on sales of products	10,431	6,104	5,472	2,456
IV. Net revenue on sales of goods and materials	4,247,073	3,222,283	1,549,807	1,214,778
B. Operating expenses	**4,100,352**	**3,123,182**	**1,486,988**	**1,165,781**
I. Depreciation and amortization	60,529	43,721	21,701	16,219
II. Consumption of materials and energy	61,015	46,796	25,660	17,025
III. External services	275,064	218,736	101,985	80,527
IV. Taxes and fees	16,013	11,796	5,298	4,173
V. Salaries	351,640	260,895	127,165	92,332
VI. Social security and other benefits	76,705	54,310	28,230	20,058
VII. Other costs by nature	17,848	12,541	7,203	5,688
VIII. Cost of goods and materials sold	3,241,538	2,474,387	1,169,746	929,759
C. Sales profit (loss) (A – B)	**157,152**	**105,205**	**68,291**	**51,453**
D. Other operating income	2,794	1,183	94	458
E. Other operating expenses	1,781	582	862	278
F. Operating profit (loss) (C+D-E)	**158,165**	**105,806**	**67,523**	**51,633**
G. Financial income	2,930	1,398	1,022	465
H. Financial expenses	36,187	30,988	13,075	10,443
I. Profit / (loss) before tax (F + G - H)	**124,908**	**76,216**	**55,470**	**41,655**
J. Income tax	**32,441**	**21,633**	**14,215**	**10,102**
L. Net profit (loss) (I – J)	**92,467**	**54,583**	**41,255**	**31,553**

4.3. Condensed standalone balance sheet

as at 30 September 2018 (PLN 000s)

	30 September 2018	*30 June 2018*	*31 December 2017*	*30 September 2017*
Assets				
A. Non-current assets	**1,857,633**	**1,737,322**	**1,540,524**	**1,455,770**
I. Intangible assets	11,203	11,017	10,284	9,167
II. Property, plant and equipment	1,085,985	967,590	773,768	683,515
III. Non-current receivables	-	-	-	-
IV. Non-current investments	738,759	738,809	738,809	739,692
V. Non-current prepayments and accruals	21,686	19,906	17,663	23,396
B. Current assets	**630,613**	**691,581**	**711,149**	**475,809**
I. Inventories	359,103	363,864	358,573	285,720
II. Current receivables	54,920	43,695	62,821	34,513
III. Current investments	210,045	267,248	257,052	109,148
IV. Current prepayments and accruals	6,545	16,774	32,703	46,428
C. Contributions due to share capital	-	-	-	-
D. Treasury stock	-	-	-	-
Total assets	**2,488,246**	**2,428,903**	**2,251,673**	**1,931,579**

	30 September 2018	*30 June 2018*	*31 December 2017*	*30 September 2017*
Equity and liabilities				
A. Equity	**750,625**	**709,370**	**658,158**	**620,237**
I. Share capital	9,804	9,804	9,804	9,804
II. Supplementary capital	640,854	640,854	548,350	548,350
III. Revaluation reserve (fund)	-	-	-	-
IV. Other reserve capital	-	-	-	-
V. Profit (loss) brought forward	-	-	-	-
VI. Net profit (loss)	92,467	51,212	92,504	54,583
VII. Other items of equity	7,500	7,500	7,500	7,500
B. Liabilities and provisions for liabilities	**1,737,621**	**1,719,533**	**1,593,515**	**1,311,342**
I. Provisions for liabilities	28,745	25,683	18,219	23,192
II. Non-current liabilities	532,241	551,581	492,041	408,781
III. Current liabilities	1,157,606	1,119,740	1,064,007	863,871
IV. Accruals and deferred revenue	19,029	22,529	19,248	15,498
Total liabilities and equity	**2,488,246**	**2,428,903**	**2,251,673**	**1,931,579**

4.4. Condensed standalone statement of cash flows

for the period from 1 January 2018 to 30 September 2018 (PLN 000s)

	1 January 2018 - 30 September 2018	*1 January 2017 - 30 September 2017*	*1 July 2018 - 30 September 2018*	*1 July 2017 - 30 September 2017*
A. Cash flow from operating activities				
I. Net profit (loss)	**92,467**	**54,583**	**41,255**	**31,553**
II. Total adjustments	**223,540**	**137,293**	**90,393**	**93,381**
1. Depreciation and amortization	60,529	43,721	21,701	16,219
2. Gains (losses) arising from changes in foreign currency exchange rates	-	-	-	-
3. Interest and profit sharing (dividends)	29,351	28,722	10,035	10,596
4. Profit (loss) on investing activity	1,243	274	684	152
5. Movement in provisions	10,526	3,867	3,062	2,045
6. Movement in inventories	(530)	(14,923)	4,761	8,550
7. Movement in receivables	9,722	15,672	(8,860)	19,362
8. Movement in current liabilities, except for loans and borrowings	90,783	32,957	54,061	32,997
9. Movement in prepayments, accruals and deferred revenue	21,916	19,503	4,949	3,460
10. Other adjustments	-	7,500	-	-
III. Net cash from operating activities (I±II)	**316,007**	**191,876**	**131,648**	**124,934**
B. Cash flow from investing activities				
I. Inflows	**2,569**	**17,579**	**(457)**	**5,336**
1. Sale of intangible assets and property, plant and equipment	515	6,467	(514)	4,364
3. From financial assets, of which:	2,054	11,112	57	972
a) in related entities	1,866	11,100	(52)	962
b) in other entities	188	12	109	10
- interest	188	12	109	10
II. Outflows	**(426,183)**	**(253,768)**	**(174,489)**	**(106,134)**
1. Purchase of intangible assets and property, plant and equipment	(375,410)	(232,082)	(148,241)	(92,124)
2. Investments in real property and intangible assets	-	-	-	-
3. Towards financial assets, of which:	(50,773)	(21,686)	(26,248)	(14,010)
a) in related entities	(50,773)	(21,686)	(26,248)	(14,010)
III. Net cash flow from investing activities (I-II)	**(423,614)**	**(236,189)**	**(174,946)**	**(100,798)**
C. Cash flow from financing activities				
I. Inflows	**197,286**	**143,204**	**82**	**24,074**
2. Loans and borrowings	197,286	105,204	82	24,074
3. Issue of debt securities	-	38,000	-	-
II. Outflows	**(188,335)**	**(111,067)**	**(41,200)**	**(36,168)**
4. Repayment of loans and borrowings	(122,579)	(44,048)	(18,170)	(13,117)
5. Redemption of debt securities	-	(2,000)	-	(1,000)
7. Payment of finance lease liabilities	(30,583)	(34,032)	(10,013)	(11,608)
8. Interest	(30,938)	(26,206)	(11,528)	(8,794)
9. Other financial expenditures	(4,235)	(4,781)	(1,489)	(1,649)
III. Net cash from financing activities (I-II)	**8,951**	**32,137**	**(41,118)**	**(12,094)**
D. Total net cash flow (A.III±B.III±C.III)	**(98,656)**	**(12,176)**	**(84,416)**	**12,042**
E. Balance sheet movement in cash, including	**(98,656)**	**(12,176)**	**(84,416)**	**12,042**
F. Cash at the beginning of the period	**185,608**	**54,232**	**171,368**	**30,014**
G. Cash at the end of the period (F±D), including	**86,952**	**42,056**	**86,952**	**42,056**
- restricted cash	16	-	16	-

4.5. Condensed standalone statement of changes in equity

for the period from 1 January 2018 to 30 September 2018 (PLN 000s)

	1 January 2018 - 30 September 2018	*1 January 2017 - 31 December 2017*	*1 January 2017 - 30 September 2017*
I. Equity at the beginning of the period (OB)	**658,158**	**558,154**	**558,154**
I.a. Equity at the beginning of the period (OB), adjusted	**658,158**	**558,154**	**558,154**
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Movement in share capital	-	-	-
1.2. Share capital at the end of the period	**9,804**	**9,804**	**9,804**
2. Supplementary capital at the beginning of the period	548,350	268,902	268,902
2.1. Changes to supplementary capital	92,504	279,448	279,448
(i) increase	92,504	279,448	279,448
- profit distribution	92,504	279,448	279,448
2.2. Balance of supplementary capital at the end of the period	**640,854**	**548,350**	**548,350**
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
3.2. Revaluation reserve at the end of the period	-	-	-
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
4.2. Other reserve capital at the end of the period	-	-	-
5. Profit (loss) brought forward at the beginning of the period	92,504	279,448	279,448
5.1. Profit brought forward at the beginning of the period	92,504	279,448	279,448
5.2. Profit brought forward at the beginning of the period, adjusted	92,504	279,448	279,448
(i) increase	-	-	-
b) decrease	(92,504)	(279,448)	(279,448)
- distribution of profits brought forward	(92,504)	(279,448)	(279,448)
5.3. Profit brought forward at the end of the period	-	-	-
5.4. Loss brought forward at the beginning of the period	-	-	-
5.5. Loss brought forward at the beginning of the period, adjusted	-	-	-
5.6. Losses brought forward at the end of the period	-	-	-
5.7. Profit (loss) brought forward at the end of the period	-	-	-
6. Net result	**92,467**	**92,504**	**54,583**
a) net profit	92,467	92,504	54,583
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity	7,500	7,500	7,500
II. Equity at the end of the period (CB)	**750,625**	**658,158**	**620,237**
III. Equity after considering the proposed distribution of profits (coverage of losses)	**750,625**	**658,158**	**620,237**

5. NOTES TO THE FINANCIAL STATEMENTS

5.1. General rules adopted for the preparation of the interim quarterly statements

Consolidated statements

The presented interim (quarterly) condensed consolidated financial statements were prepared in accordance with:

- International Accounting Standard 34 – Interim Financial Reporting and International Financial Reporting Standards (hereinafter "IFRS") published in the Commission Regulation (EC) no. 1725/2003 of 29 September 2003, as amended,
- to the extent not regulated by the above standards – according to the requirements of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister's Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the consolidated financial statements for the year 2017.

These interim (quarterly) condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future, except for Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA (in liquidation) and Viterna Holdings Ltd., which are currently being liquidated.

The interim (condensed) consolidated financial statements for the period from 1 January 2018 to 30 September 2018 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

Standalone financial statements

The presented interim (quarterly) condensed standalone financial statements were prepared according to the following:

- provisions of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister's Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the standalone financial statements for the year 2017.

These interim (quarterly) standalone financial statements have been prepared with the assumption that the Company will continue its business as a going concern in the foreseeable future.

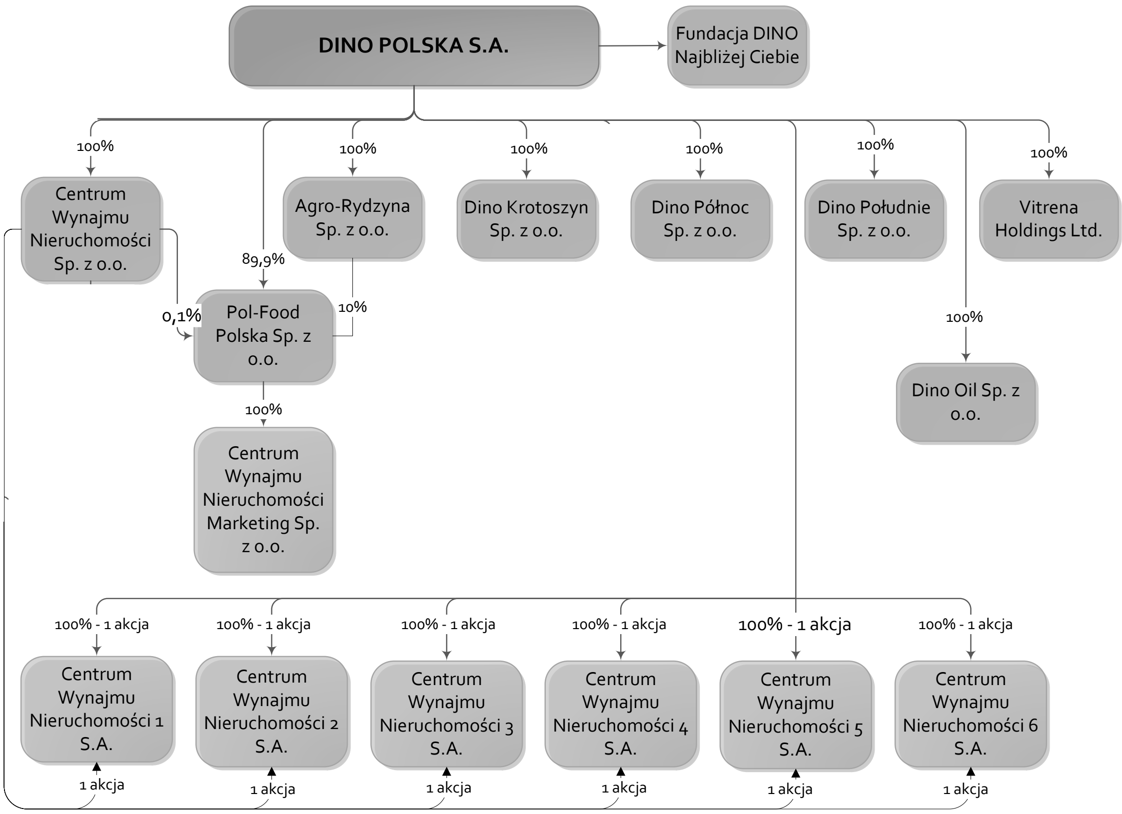
The interim (condensed) standalone financial statements for the period from 1 January 2018 to 30 September 2018 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

5.2. Group Overview

The Company is the parent company of the Dino Group. The Company conducts the operating activity including the management of Dino store network. The Company manages, among others, the logistics of supply of products to the stores, sales, product range offered in the stores and supports other Group Companies in the execution of investment processes related to the selection and purchase of land on which new stores will be built and also manages the new store construction process itself. The Company also owns some of the real properties on which the stores are located and leases facilities in which the stores are located from other Group Companies that own the properties.

There is a large number of companies in the Dino Group, which conduct property lease business. The functioning of companies purchasing and leasing properties in the Dino Group is a result of the accepted business model. The Dino Group has made a strategic decision to purchase the properties on which its stores are located, among others to ensure rapid organic growth of its store network, uniform store format in all locations, build the Dino brand image in terms of how customers perceive it and enhance cost effectiveness.

The Group consists of Dino Polska S.A. and the following subsidiaries:



* On 12 October 2018, District Court in Poznań issued a decision to strike the Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA in liquidation from the register.

5.3. Seasonality and business cycles

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts increased sales revenues in the period close to holidays and in the summer. Moreover, Dino Group's revenues also depend on the number of store openings, which in the winder, especially in the first quarter of the year, is lower than in the remaining quarters of the year, in particular lower than in Q3 and Q4, because of the weather conditions hindering construction work.

5.4. Other information

Non-recurring amounts and events

No non-recurring events transpired in the Dino Group's business in the period from 1 January 2018 to 30 September 2018.

Impairment losses

In the period covered by this report, the Group did not recognize any impairment losses for inventories.

Consolidated financial data
for the period from 1 January 2018 to 30 September 2018

(PLN 000s)	30 September 2018	Change	31 December 2017
Impairment losses on receivables	327	(124)	451

Unconsolidated financial data
for the period from 1 January 2018 to 30 September 2018

(PLN 000s)	30 September 2018	change	31 December 2017
Impairment losses on receivables	283	(124)	407

Information on the recognition, increase, use and reversal of provisions

Consolidated financial data
for the period from 1 January 2018 to 30 September 2018

(PLN 000s)	30 September 2018	change	31 December 2017
Deferred tax liability	11,337	7,842	3,495
Provision for pension and similar benefits	1,581	-	1,581
	12,918	**7,842**	**5,076**

Unconsolidated financial data
for the period from 1 January 2018 to 30 September 2018

(PLN 000s)	30 September 2018	change	31 December 2017
Deferred tax liability	27,375	10,526	16,849
Provision for pension and similar benefits	1,370	-	1,370
	28,745	**10,526**	**18,219**

Information on deferred tax liabilities and assets

Consolidated financial data
for the period from 1 January 2018 to 30 September 2018

(PLN 000s)	30 September 2018	change	31 December 2017
Deferred tax liability	11,337	7,842	3,495
Deferred tax asset	14,141	(3,419)	17,560
	25,478	**4,423**	**21,055**

Unconsolidated financial data
for the period from 1 January 2018 to 30 September 2018

(PLN 000s)	30 September 2018	change	31 December 2017
Deferred tax liability	27,375	10,526	16,849
Deferred tax asset	21,686	4,023	17,663
	49,061	**14,549**	**34,512**

Material purchase and sale transactions of property, plant and equipment

In the presented period, material transactions to purchase property, plant and equipment included purchases related to the purchase of land and construction of new stores and expansion of warehouse space in Krotoszyn as well as the purchases related to store and warehouse fit-outs. In the period from 1 January to 30 September 2018, the Group incurred capital expenditures of approximately PLN 466 million, including fixed assets under construction (it was about PLN 313 million in 2017).

Material obligations on account of property, plant and equipment purchases

As at the date of the financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of land and construction services related to the ongoing rollout of the Dino Polska Group's store network. They totaled PLN 74,620 thousand. At the end of Q3 2017, investment commitments totaled PLN 69,540 thousand.

Information about litigation and material proceedings pending in a competent body for arbitration or a public administrative authority

No litigation of material importance for the operation of the Dino Group referred to in the header was pending in the period from 1 January 2018 to 30 September 2018.

Correction of errors of previous periods

In the period covered by these statements, there were no corrections of errors of previous periods.

Changes in the economic situation and business conditions with material effect on the fair value of financial assets and financial liabilities

The changes in the economic situation and business conditions had no material effect on the fair value of the Group's financial assets and financial liabilities.

Information on default on a loan or borrowing or breach of material provisions of loan or borrowing agreements

No occurrences covered by this item occurred in the reporting period.

Information on related party transactions

Related party transactions were routine in nature and concluded on the arm's length basis, at prices no different from the prices used in transactions between unrelated parties. Intra-Group transactions were eliminated in the consolidation process.

Information on changes in the fair value measurement methodology for financial instruments measured at fair value and changes in the classification of financial instruments

In this reporting period, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Information on the issue, redemption and repayment of non-equity and equity securities

No events covered by this item occurred in the reporting period.

Information on dividend paid (or declared), in total and per share, for common and preference shares

During the reporting period, Dino Polska did not pay out a dividend.

Events taking place after the date of the quarterly condensed financial statements, which were not included in the statements but may materially affect the issuer's future financial results

By the date of these financial statements, no events occurred that may materially affect the Group's future financial results.

Information on changes in contingent liabilities or contingent assets that have taken place since the end of the previous financial year

No change in contingent assets was recorded in the reporting period. At the end of the reporting period, the Group had contingent liabilities in the amount of PLN 324,574 thousand.

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No events occurred in the reporting period that could materially affect the assessment of the Group's assets, financial position and financial result.

6. Other information

Description of changes in the organization of the issuer's group

On 12 October 2018, District Court in Poznań issued a decision to strike the Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA in liquidation from the register.

On 26 October 2018 r. Dino bought from its subsidiaries: Agro-Rydzyna Sp. z o.o. and Centrum Wynajmu Nieruchomości Sp. z o.o. the shares they held in Pol-Food Polska Sp. z o.o., 0.1% and 10% of the shares, respectively, thereby becoming the sole shareholder of Pol-Food Polska Sp. z o.o.

On 26 October the Management Board of Dino Polska made a decision regarding its intent of merging Dino Polska with Pol-Food Polska Sp. z o.o., a subsidiary of Dino in which Dino holds a 100% equity stake in its share capital. Dino Polska's shareholders will make the merger decision at the Extraordinary Shareholder Meeting convened to take place on 28 November 2018.

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2018.

Sureties, loans, borrowings or guarantees extended by the issuer or its subsidiary

No events covered by this item occurred in the reporting period.

Other information

During the reporting period and up to the report's date of publication, no other material events occurred that would require disclosure.

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Szymon Piduch – President of the Management Board ……………………………….…………

Michał Krauze – Management Board Member ………………………………………

Krotoszyn, 8 November 2018